

Can Transnet fund the railway it has opened?

Open access is in place: final rules, published tariffs, 11 signed operators. This brief sets out whether the money exists to fix the track they will run on. Every figure comes from Transnet's own FY2026 filings and Network Statement v4.

BOTTOM LINE

- **The Network Statement has a plan, not a funded budget.** Reaching 250Mt by 2029/30 is "completely dependent" on a funding plan that hasn't been finalised. The approved R46.3bn over five years is 96% maintenance and sustaining spend, with R1.7bn for expansion.
- **The balance sheet can't carry more.** Transnet breached its cash-interest-cover covenant for a second year (1.5× vs 2.0×, on R30.7bn of loans). R55.0bn of debt payments fall due within 12 months against R11.9bn cash, and its own plan needs R35.4bn of new money in 2027/28.
- **Treasury and private capital close the gap.** R16.3bn of TRIM's plan is grant-linked (R10bn approved) and a further R26bn has been sought. Two corridors are handed to private finance from 2029/30.

1 • TRIM'S APPROVED PLAN (R BN)

CATEGORY	26/27	27/28	28/29	29/30	30/31	5-YR
Capitalised maintenance	6.73	6.83	6.44	5.88	6.85	32.72
Sustaining capex	2.90	1.94	1.36	3.21	2.50	11.91
Expansion capex	0.13	0.25	0.31	0.70	0.32	1.71
Total approved	9.76	9.02	8.10	9.78	9.67	46.34

Annexure 17 calls this the "constrained view". It does not say whether R46.3bn reaches 250Mt.

2 • INFRASTRUCTURE SPEND BY CORRIDOR (R BN)

CORRIDOR	26/27-28/29	29/30-30/31	5-YR
North (coal)	6.02	4.07	10.08
Ore (iron ore, Saldanha)	4.02	2.45	6.47
North-East	2.11	2.43	4.54
Central	2.12	2.22	4.34
Manganese line to Gqeberha	2.48	PSP	2.48
Container	2.11	PSP	2.11
Cape (excl. manganese line)	0.61	1.22	1.82
Total (incl. other)	19.56	12.38	31.94

PSP = no TRIM capital; private-sector funding expected. Annexure 17 notes the split is "subject to change as the funding initiatives being pursued are realized".

3 • BALANCE SHEET AT 31 MARCH 2026

1.5× Cash interest cover vs 2.0× covenant. Breach, "event of default" on R30.7bn	2.6 → 1.5× Cash interest cover, 2022 → 2026, down every year
R55.0bn Debt payments due ≤12 months (incl. R21bn reclassified by the breach)	R11.9bn Cash and cash equivalents
R150.7bn Total borrowings (2025: R144.8bn); gearing 49.5% vs <50% covenant	R74.3bn Debt guaranteed by government, of R196.3bn approved facilities

Profit of R4.6bn includes a R12.5bn one-off gain on the Durban Pier 2 (DGT) disposal.

4 • TRANSNET'S OWN FIVE-YEAR FUNDING PLAN (R BN)

	26/27	27/28	28/29	29/30	30/31
Operating cash flow	24.8	26.7	35.4	64.2	47.9
Capital investment (group)	(25.7)	(25.5)	(25.4)	(25.8)	(26.7)
Loan redemptions	(13.0)	(36.5)	(10.3)	(19.4)	(12.5)
Funding requirement	(13.8)	(35.4)	(0.2)	19.0	8.7

*Board capex cap (80% of op. cash)**

	19.9	21.3	28.3	51.4	38.3
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*AIA arithmetic from the board's stated cap. Planned capex exceeds the cap in the first two years, and the plan balances only if operating cash flow jumps to R64.2bn in 2029/30.

5 • WHERE THE GAP IS MEANT TO CLOSE

- **Treasury grants (BFI):** R10bn approved for the North and Ore corridors. Further applications: Cape R8.7bn and Central R6bn (submitted 5 Jul), North-East ±R5.4bn and Container ±R6bn (due 15 Oct). About R26bn in total.
- **State guarantees:** R196.3bn of facilities; Transnet is negotiating to replace rating and financial covenants in its loans with them.
- **Private capital:** the manganese line and Container corridor from 2029/30. The Pier 2 sale (R10.5bn for 49.999%) is the precedent.

6 • WHAT TO WATCH

30 Sep	TRIM required to become a wholly owned subsidiary under the guarantee agreement
15 Oct	North-East and Container corridor grant applications due
Late Oct	Medium-Term Budget Policy Statement: the first signal on the R26bn
Pending	Lender waivers on the R30.7bn covenant breach
2027/28	R36.5bn of loan redemptions; R35.4bn to raise

Sources. [Transnet Annual Financial Statements, year ended 31 March 2026](#): p3 (performance highlights, CIC trend), p16, p17 (directors' report: capex cap, covenant breach), pp61–62 (note 36: funding plan, maturity analysis), p68 (note 39: going concern, guarantees). [Transnet SENS results announcement, Sep 2026](#) (gearing, covenant). [TRIM Network Statement v4, Sep 2026](#), §2.4.2–2.4.10. [Annexure 17: TRIM Investment Plan](#), §1–5. Corridor sub-totals in section 2 and the capex-cap row in section 4 are AIA arithmetic on those tables. Figures rounded.